

The Buy Indian Act

The Buy Indian Act (25 USC 47) provides the Bureau of Indian Affairs (BIA) with the authority to set-aside procurement contracts for Indian-owned and controlled businesses. Federal regulations governing IHS use of the Buy Indian Act are under the PHSAR, Subpart 380.5 – Acquisitions under the Buy Indian Act.

Eligibility Requirements:

Main requirements for contract competition under the Buy Indian Act.

- The business must be an (IEE) Indian Economic Enterprise. A for profit business that is at least 51 percent Indian/Indian Tribe owned.
- **The IEE owners must be members of a federally recognized Indian tribe or Alaska Native village**
- The IEE must manage the contract
- The Indian or Indian Tribe must receive majority of the earnings from the contract
- The Indian or Indian Tribe must control the daily business operations
- Subcontracting is permitted but at least 50 percent of the subcontracted work must go to (IEEs)
- IEE must meet the eligibility requirements during the following periods
 - At the time the offer was made
 - At the time of award
 - During the life of the contract
 - If offeror loses eligibility during any of these times, the CO may terminate the contract for default.

Subcontracting Limitations: No more than 50% of the work subcontracted maybe subcontracted to a concern other than a responsible IEE, the contractor agrees to give preference to Indian organizations and IEES in awarding subcontracts. For services and supplies the concern awarded the contract must provide 50% of the cost incurred for personnel and the cost of manufacturing, excluding materials.

Laws/Regulations

The Buy Indian Act

- 25 USC 47

The Final Rule (Acquisition Regulations, Procedures for Contracting)

- Federal Registrar
www.federalregister.gov/articles/2013/06/07/2013-13255/acquisition-regulations-buy-indian-act-procedures-for-contracting

Authority / Indian Health Service

- Subpart PHS 380.5—Acquisitions Under the Buy Indian Act
PHSAR 380.501(b)
<http://www.gpo.gov/fdsys/pkg/CFR-1999-title48-vol4/xml/CFR-1999-title48-vol4-chapA.xml#seqnumPHS 380.501>
- Subpart 370.5--Acquisitions Under the Buy Indian Act
<http://www.hhs.gov/grants/contracts/contract-policies-regulations/hhsar/subpart370/index.html#Subpart370.5--AcquisitionsUndertheBuyIndianAct>

Department of Health and Human Service Clauses/Provisions (HHSAR)

- 352.226-1 Indian Preference (DEC 2015)
- 352.226-2 Indian Preference Program (DEC 2015)

What Offeror Must Provide in Response to an IEE Set-Aside Solicitation:

- A description of the required percentage of work/costs to be provided by the offeror over the contract term,
 - A description of the source of human resources for work to be performed by offeror,
-

- A description of method(s) of recruiting and training Indian employees, indicating the extent of soliciting employment of Indian persons,
 - A description of how subcontractors (if any) will be selected,
 - Names, addresses and description of work to be performed by Indian persons or economic enterprise being considered for subcontracts (if any) and the percentage of the total direct project work/costs they will perform,
 - Qualifications of key personnel (if any) to be assigned to the contract,
 - A description of method(s) for compliance with any supplemental Tribal employment preference requirements contained in the solicitation .
-